

TDK (6762.T)

1Q above expectations: Very positive, with results/outlook trending up in all segments; raise TP, reiterate Buy

6762.T 12m Price Target: ¥4,900 Price: ¥3,023 Upside: 62.1%

TDK's 1Q operating profits of ¥86.3 bn, announced after the July 31 market close, were well above our ¥68.8 bn estimate. The company maintained its full-year guidance of ¥295 bn (assuming ¥150/USD). Key points from the conference call are as follows. **(1) Passive components:** Operating profit rose from ¥11.4 bn in 4Q to ¥17.4 bn in 1Q. The company guides for 2Q sales growth of 2-5% qoq (assuming a constant qoq exchange rate). Strong demand from automotive and AI/data center applications is driving qoq profit growth. MLCCs and aluminum electrolytic capacitors are the main drivers. For inductors, the company expects growth from smartphone applications in 2Q, with future growth expected from AI/data center applications. **(2) Sensor application products:** OP rose from ¥1.5 bn to ¥7.8 bn. The company guides for 2Q sales growth of 3-6% qoq. In addition to a recovery in automotive demand, profit growth is expected to widen in 2Q due to seasonality in smartphone applications. **(3) Magnetic application products:** OP rose from ¥7.5 bn to ¥9.6 bn. The company guides for 2Q sales growth of 5-8% qoq. QoQ HDD head volumes were up 12% in 1Q and are expected to grow 10% in 2Q, while suspension volumes were up 8% in 1Q and are expected to grow 6% in 2Q. Management's view is that from 2Q onward, the effects of sales price hikes and rising front-end process utilization for HDD heads will contribute significantly to earnings. **(4) Energy application products:** OP rose from ¥41.6 bn to ¥69.4 bn (OPM of 17%). The company guides for 2Q sales growth of 9-12% qoq. Small rechargeable battery volumes are expected to increase 10% in 2Q, with earnings expanding due to seasonality and an increase in high-value-added products. **(5) Overall view:** For the full year, management appears particularly confident about rising profitability in HDD head-related business and earnings growth in passive components. The company is shifting from a battery-centric earnings structure to one where the earnings power of each business is being strengthened. Management commented that it has

BUY

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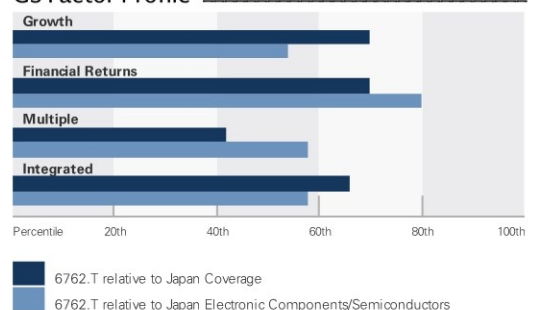
Key Data

Market cap: ¥5.7tr / \$36.0bn
Enterprise value: ¥5.3tr / \$33.5bn
3m ADTV: ¥52.4bn / \$326.5mn
Japan
Japan Electronic Components/Semiconductors
M&A Rank: 3
Leases incl. in net debt & EV?: No

GS Forecast

	3/26	3/27E	3/28E	3/29E
Revenue (¥ bn)	2,504.8	3,009.5	3,219.0	3,456.5
Op. profit (¥ bn) New	272.4	358.0	398.0	440.0
Op. profit (¥ bn) Old	272.4	322.0	363.5	400.0
Op. profit CoE (¥ bn)	265.0	295.0	—	—
EPS (¥) New	103.1	153.8	165.5	183.5
EPS (¥) Old	103.1	133.4	150.5	165.5
P/E (X)	19.1	19.7	18.3	16.5
P/B (X)	1.8	2.4	2.2	2.0
CROCI (%)	15.7	17.5	20.5	22.4
	6/26	9/26E	12/26E	3/27E
EPS (¥)	42.5	46.5	39.9	24.9

GS Factor Profile



Source: Company data, Goldman Sachs Research estimates.
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BUY

TDK (6762.T)

Rating since Feb 16, 2017

Ratios & Valuation

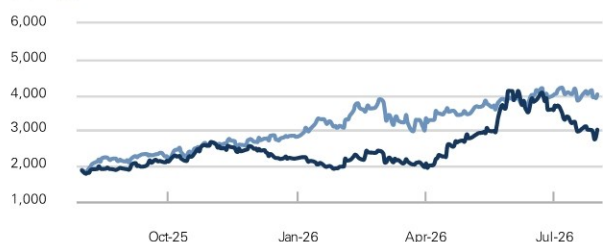
	3/26	3/27E	3/28E	3/29E
P/E (X)	19.1	19.7	18.3	16.5
P/B (X)	1.8	2.4	2.2	2.0
FCF yield (%)	2.1	3.6	6.1	6.9
EV/EBITDAR (X)	7.5	9.2	7.0	5.7
EV/EBITDA (excl. leases) (X)	7.5	9.2	7.0	5.7
CROCI (%)	15.7	17.5	20.5	22.4
ROE (%)	9.8	12.6	12.3	12.3
Net debt/equity (%)	(13.6)	(18.1)	(27.8)	(36.7)
Net debt/equity (excl. leases) (%)	(13.6)	(18.1)	(27.8)	(36.7)
Interest cover (X)	61.1	80.3	89.2	98.6
Days inventory outst, sales	72.5	73.3	71.0	66.9
Receivable days	99.4	98.5	93.9	84.4
Days payable outstanding	116.0	137.6	144.8	144.4
DuPont ROE (%)	8.9	11.9	11.6	11.6
Turnover (X)	0.6	0.6	0.6	0.6
Leverage (X)	2.0	2.0	1.9	1.8
Gross cash invested (ex cash) (¥)	2,939.4	3,120.6	3,252.6	3,410.6
Average capital employed (¥)	1,775.7	1,953.5	1,978.7	1,925.4
BVPS (¥)	1,125.2	1,250.2	1,384.7	1,533.8

Growth & Margins (%)

	3/26	3/27E	3/28E	3/29E
Total revenue growth	13.6	20.1	7.0	7.4
EBITDA growth	13.4	25.5	23.4	13.8
EPS growth	17.1	49.1	7.6	10.8
DPS growth	50.0	0.0	5.6	0.0
EBIT margin	10.9	11.9	12.4	12.7
EBITDA margin	19.0	19.9	22.9	24.3
Net income margin	7.8	9.7	9.8	10.1

Price Performance

6762.T (¥)



	3m	6m	12m
Absolute	4.6%	52.6%	62.8%
Rel. to the TOPIX	(2.7)%	35.8%	19.6%

Source: FactSet. Price as of 31 Jul 2026 close.

Income Statement (¥ bn)

	3/26	3/27E	3/28E	3/29E
Total revenue	2,504.8	3,009.5	3,219.0	3,456.5
Cost of goods sold	(1,729.1)	(2,046.8)	(2,174.2)	(2,322.0)
SG&A	(503.3)	(604.7)	(646.8)	(694.5)
R&D	(289.7)	0.0	0.0	0.0
Other operating inc./exp.)	-	-	-	-
EBITDA	476.6	598.0	738.0	840.0
Depreciation & amortization	(204.2)	(240.0)	(340.0)	(400.0)
EBIT	272.4	358.0	398.0	440.0
Net interest inc./exp.)	1.9	1.9	1.9	1.9
Income/(loss) from associates	-	-	-	-
Pre-tax profit	276.8	369.2	402.0	444.0
Provision for taxes	(81.1)	(77.4)	(88.0)	(96.0)
Minority interest	-	-	-	-
Preferred dividends	-	-	-	-
Net inc. (pre-exceptionals)	195.7	291.8	314.0	348.0
Post-tax exceptionals	-	-	-	-
Net inc. (post-exceptionals)	195.7	291.8	314.0	348.0
EPS (basic, pre-exception) (¥)	100.7	150.1	161.5	179.0
EPS (diluted, pre-exception) (¥)	100.7	150.1	161.5	179.0
EPS (basic, post-exception) (¥)	100.7	150.1	161.5	179.0
EPS (diluted, post-exception) (¥)	100.7	150.1	161.5	179.0
DPS (¥)	36.0	36.0	38.0	38.0
Div. payout ratio (%)	35.8	24.0	23.5	21.2

Balance Sheet (¥ bn)

	3/26	3/27E	3/28E	3/29E
Cash & cash equivalents	842.8	987.5	1,296.9	1,645.3
Accounts receivable	780.6	844.1	812.5	785.2
Inventory	585.4	623.7	629.4	638.6
Other current assets	246.4	246.4	246.4	246.4
Total current assets	2,455.2	2,701.8	2,985.3	3,315.5
Net PP&E	1,225.8	1,335.8	1,365.8	1,385.8
Net intangibles	238.2	238.2	238.2	238.2
Total investments	15.6	15.6	15.6	15.6
Other long-term assets	480.4	496.7	496.7	496.7
Total assets	4,415.2	4,788.0	5,101.6	5,451.8
Accounts payable	706.8	836.7	888.7	949.1
Short-term debt	211.0	211.0	211.0	211.0
Short-term lease liabilities	-	-	-	-
Other current liabilities	656.8	656.8	656.8	656.8
Total current liabilities	1,574.5	1,704.4	1,756.5	1,816.9
Long-term debt	332.7	332.7	332.7	332.7
Long-term lease liabilities	-	-	-	-
Other long-term liabilities	304.4	304.4	304.4	304.4
Total long-term liabilities	637.1	637.1	637.1	637.1
Total liabilities	2,211.6	2,341.5	2,393.6	2,454.0
Preferred shares	-	-	-	-
Total common equity	2,187.2	2,430.2	2,691.7	2,981.5
Minority interest	16.3	16.3	16.3	16.3
Total liabilities & equity	4,415.2	4,788.0	5,101.6	5,451.8
Net debt, adjusted	(564.0)	(853.5)	(1,472.3)	(2,169.0)

Cash Flow (¥ bn)

	3/26	3/27E	3/28E	3/29E
Net income	195.7	291.8	314.0	348.0
D&A add-back	204.2	240.0	340.0	400.0
Minority interest add-back	-	-	-	-
Net (inc)/dec working capital	(58.6)	28.1	77.9	78.5
Other operating cash flow	37.9	-	-	-
Cash flow from operations	379.2	559.9	731.9	826.5
Capital expenditures	(298.6)	(350.0)	(370.0)	(420.0)
Acquisitions	-	-	-	-
Divestitures	-	-	-	-
Others	(16.9)	-	-	-
Cash flow from investing	(315.5)	(350.0)	(370.0)	(420.0)
Repayment of lease liabilities	-	-	-	-
Dividends paid (common & pref)	(32.7)	(48.8)	(52.5)	(58.2)
Inc/(dec) in debt	10.5	0.0	-	-
Other financing cash flows	229.4	(16.3)	0.0	0.0
Cash flow from financing	207.1	(65.1)	(52.5)	(58.2)
Total cash flow	145.5	144.8	309.4	348.3
Free cash flow	80.6	209.9	361.9	406.5

Source: Company data, Goldman Sachs Research estimates.

been three years since the introduction of ROIC-focused management for each business unit, and the results are becoming more tangible.

We view the upward trend in performance and outlook beyond 2Q across all segments as very positive. As the business environment improves, we can sense that TDK's management model is working. We get the impression that the company is capturing demand opportunities from AI/data centers at a faster-than-expected pace, contributing to earnings. We raise our 12m target price to ¥4,900, from ¥4,600, and reiterate our Buy rating.

Earnings revisions and target price

Based on 1Q results and the content of the company's results briefing, we raise our operating profit forecasts for FY3/27-FY3/29 by 11%, 9%, and 10%, respectively. With this we raise our 12-month target price to ¥4,900 from ¥4,600 and maintain our Buy rating.

Exhibit 1: Earnings summary: TDK

FY3/27 - Q1			FY3/27			
(JPY: Bn)	GSE	Actual	GSE		CoE	Bloomberg
			Old	New		
Sales	647.0	741.0	2,713.5	3,009.5	2,580.0	2,698.2
OP	68.8	86.3	322.0	358.0	295.0	314.4
NI	54.8	80.6	253.0	291.8	225.0	234.3

Source: Company data, Goldman Sachs Global Investment Research, Bloomberg

Investment Thesis - TDK

TDK is a Japan-based company that operates a passive components business, which manufactures ceramic capacitors, aluminum electrolytic capacitors, and piezo materials/components; a sensor application products business, which supplies temperature/pressure, magnetic, and MEMS sensors; a magnetic application products business, which produces HDD heads/suspensions and magnets; and an energy application products business, which manufactures secondary electron and power supply products. We are Buy rated on TDK, as we expect balanced earnings contributions from growth in batteries, sensors, passive components, and magnetic applications. We see gradual revenue and profit growth in batteries, assuming no changes in material costs and selling prices. We forecast continued improvement in the sensor business, with signs that the business will remain consistently in the black. In passive components, we see automotive/industrial MLCCs driving growth, and in magnetic applications, we see nearline HDDs driving growth. We believe valuations are attractive considering the company's well-balanced business drivers and growth potential of the battery business.

Price Target Risks and Methodology - TDK

Valuation methodology: We are Buy-rated on TDK with a 12-month price target of ¥4,900. Our target price is based on FY3/29E EV/GCI vs. CROCI/WACC, applying a 10% premium to our sector average EV/DACF multiple of 10X (implies FY3/28E P/E of 27X).

Key risks: Decline in smartphone production volume, higher input costs, and yen appreciation.

Disclosure Appendix

Reg AC

We, Daiki Takayama, Mitsuhiro Icho, Makoto Takahara and Yuji Hidaka, hereby certify that all of the views expressed in this report accurately reflect our personal views about the subject company or companies and its or their securities. We also certify that no part of our compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

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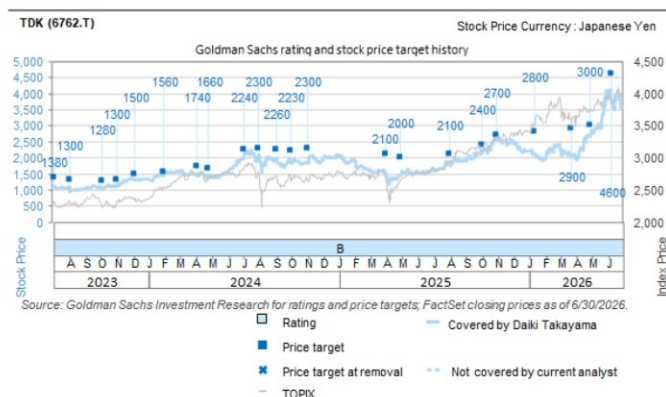
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Target price history table(s)

TDK (6762.T)

Date of report	Target price (¥)	Closing price (¥)
31-Jul-26	4,900	3,023
08-Jun-26	4,600	3,715
28-Apr-26	3,000	2,677
23-Mar-26	2,900	2,043
12-Jan-26	2,800	2,142
31-Oct-25	2,700	2,673
02-Oct-25	2,400	2,154
01-Aug-25	2,100	1,876
28-Apr-25	2,000	1,460
31-Mar-25	2,100	1,546
01-Nov-24	2,300	1,848
01-Oct-24	2,230	1,948
02-Sep-24	11,300	2,023
30-Jul-24	11,500	2,029
02-Jul-24	11,200	2,004
26-Apr-24	8,300	1,462
03-Apr-24	8,700	1,488
31-Jan-24	7,800	1,488
06-Dec-23	7,500	1,338
01-Nov-23	6,500	1,158
04-Oct-23	6,400	1,052
02-Aug-23	6,500	1,089

Price targets shown in table(s) are unadjusted for corporate actions.

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